

MSBA 6111: Company Assessment

Salesforce, Inc.

1. Company Strategy Overview, SWOT, and Industry Analysis

Salesforce, Inc. is a publicly traded enterprise software company and the global leader in cloud-based Customer Relationship Management (CRM). The company operates primarily through a **subscription-based Software-as-a-Service (SaaS)** model, generating the vast majority of its revenue from subscription and support services. Salesforce's overall strategy centers on its Customer 360 platform, which integrates sales, service, marketing, analytics, commerce, and collaboration tools into a single ecosystem. Rather than competing on price, Salesforce differentiates itself through platform breadth, ecosystem integration, and long-term customer relationships, which increase switching costs and improve customer lifetime value.¹

In recent years, Salesforce's management has emphasized a shift toward profitable and disciplined growth, balancing continued investment in innovation particularly artificial intelligence and data analytics with stronger cost control and operational efficiency. This strategic shift provides important context for understanding Salesforce's competitive position and financial performance.

SWOT Analysis

Strengths	Weaknesses
• Market leadership in CRM with strong brand recognition, creating high switching costs • Highly predictable recurring revenue model, with subscription and support revenue accounting for over 90% of total revenue • Strong cash generation, with \$13.1B in operating cash flow in FY2025, supporting reinvestment and flexibility	• High operating cost structure, particularly in sales & marketing and R&D • Enterprise-focused sales model results in long sales cycles and pricing pressure • Acquisition-driven growth increases integration complexity and execution risk
Opportunities	Threats
• Expansion of AI-enabled analytics and automation, supported by over \$5.2B in R&D spending in FY2025	• Intense competition from major technology firms such as Microsoft and Oracle

• Deeper cross-cloud adoption within the Customer 360 ecosystem • Continued enterprise digital transformation initiatives	• Macroeconomic uncertainty impacting IT spending decisions • Strong buyer bargaining power among large enterprise customers
--	---

Salesforce’s strengths are reflected in strong recurring revenues and operating cash flows, while its weaknesses and threats are visible in high operating expenses and moderating growth trends discussed by management.²

Porter’s Five Forces Analysis

- **Competitive Rivalry (High):** Salesforce competes with Microsoft, Oracle, SAP, and other enterprise software providers. This rivalry is reflected in Salesforce’s **sales and marketing expenses accounting for roughly one-third of total revenue**, highlighting the cost of defending market share.
- **Buyer Power (Moderate–High):** Large enterprise customers have significant negotiating power, contributing to longer sales cycles and moderating revenue growth.
- **Threat of Substitutes (Moderate):** Competing enterprise platforms and in-house solutions require Salesforce to maintain **multi-billion-dollar annual R&D investments** to sustain differentiation.
- **Threat of New Entrants (Low):** Strong brand equity, global scale, and high switching costs create meaningful barriers to entry.
- **Supplier Power (Low):** Salesforce’s diversified cloud infrastructure and technology partnerships limit supplier leverage.

Overall, Salesforce’s platform-based strategy helps mitigate competitive pressure by increasing customer dependence and switching costs.

2. Financial Performance and Strategic Linkage

This financial analysis draws on Salesforce’s two most recent Form 10-K filings, which together provide four years of balance-sheet data and three years of income-statement and cash-flow data.² Salesforce has demonstrated **strong** revenue growth driven primarily by its subscription and support services; however, the pace of growth has moderated over time. Even with the moderation, revenue hit a record **\$37.9 billion** in FY2025. Management attributes this trend to longer enterprise sales cycles, competitive pricing pressure, and macroeconomic uncertainty factors consistent with the high competitive rivalry and buyer bargaining power identified in the industry analysis.³ Despite slower top-line growth, profitability improved meaningfully due to SaaS scalability, restructuring initiatives, and tighter cost discipline.

Salesforce’s balance sheet is anchored by substantial cash, cash equivalents, and marketable securities, providing financial flexibility in a highly competitive industry. A major liability is unearned (deferred) revenue, which totaled approximately **\$20.6B in FY2025** and reflects customer prepayments under subscription contracts. While deferred revenue increases current

liabilities, it also provides strong visibility into future revenue and cash inflows.

Operating cash flow increased steadily over the three-year period, reaching **\$13.1B in FY2025**, and consistently exceeded net income. This indicates strong earnings quality and efficient cash conversion. As discussed in the MD&A, this pattern is driven by non-cash expenses such as stock-based compensation and favorable working-capital dynamics related to deferred revenue.³ Major uses of cash include acquisitions, share repurchases, and dividends, signaling management's confidence in Salesforce's long-term cash-generating ability.

Strategic Financial Linkage

Salesforce's strong operating cash flows directly support its strategic priorities. Cash generation enables continued investment in AI and analytics (opportunity), supports cost-discipline initiatives to address high operating expenses (weakness), and allows for shareholder returns in a highly competitive market (threat). These financial outcomes also influence Salesforce's marketing and operational decisions, particularly its emphasis on enterprise customer retention and platform adoption, demonstrating clear alignment between financial performance and overall strategy.

3. Marketing Strategy (5C's and 4P's)

From a **5C perspective**, Salesforce benefits from strong internal capabilities and brand equity (**Company**), serves predominantly large enterprise customers (**Customers**), competes with major technology firms (**Competitors**), relies on partners and developers (**Collaborators**), and operates within a broader context of digital transformation and regulatory scrutiny (**Context**).

These insights translate into Salesforce's 4P's. Salesforce offers an integrated, analytics-driven product, follows a premium value-based pricing strategy, distributes through a global direct sales force and partners (place), and emphasizes relationship-based B2B promotion. While effective for enterprise penetration, this model contributes to high customer acquisition costs. Given that subscription revenue accounts for over 90% of total revenue, To save money on finding new customers, Salesforce should use its own AI to pick out the best leads. By looking at data, they can figure out which companies are most likely to buy and stay for a long time. They should also build a "Warning Dashboard". If a customer stops using certain features, the dashboard alerts a manager to call them right away. This keeps customers from leaving (churn) and helps Salesforce stay ahead in a crowded market.

4. Operations Strategy

Salesforce's operations strategy aligns closely with its platform-based business model and financial objectives. Using the **operations strategy matrix**, Salesforce **leverages** scalable cloud infrastructure, **integrates** acquired platforms to expand functionality, and **develops** new capabilities through ongoing investment in AI, automation, and analytics.

Operational **strengths** include **scalability, reliability, and strong financial support for innovation**. However, Salesforce also faces operational **risks** related to **integration**

complexity and cybersecurity. Given the scale of its global cloud operations, even small disruptions in system availability or AI compute efficiency could have **material cost and margin implications**, particularly as AI-driven workloads increase infrastructure intensity. Data analytics can mitigate these risks through predictive capacity planning, real-time system monitoring, and proactive incident management, helping Salesforce maintain uptime, control infrastructure costs, and protect operating margins.

Conclusion

Salesforce demonstrates strong alignment across strategy, financial performance, marketing, and operations. Its subscription-based model provides stable revenues and cash flows, while improved cost discipline has strengthened profitability. Although Salesforce operates in a highly competitive industry with strong buyer power, its financial flexibility, platform depth, and analytics capabilities position the company well for sustained long-term performance.

Exhibit 1: Income Statement Trends

Fiscal Year	Net Revenue (\$B)
FY2023	31.35
FY2024	34.86
FY2025	37.90

Exhibit 2: Salesforce Financial Performance Trends (USD in billions)

Metric	FY2023	FY2024	FY2025
Net Revenue	31.35	34.86	37.90
Operating Cash Flow	7.1	10.2	13.1
R&D Expense	5.1	4.9	5.2

Exhibit 3: Salesforce Balance Sheet Highlights (USD in billions)

Metric	FY2022	FY2023	FY2024	FY2025
Total Assets	98.4	99.3	98.2	102.9
Unearned Revenue	17.7	18.2	19.0	20.6
Cash & Marketable Securities	13.9	11.8	12.4	14.0

Endnotes

1. *Salesforce, Inc. Form 10-K for the Fiscal Year Ended January 31, 2025. U.S. Securities and Exchange Commission.*
2. *Salesforce, Inc. Form 10-K for the Fiscal Year Ended January 31, 2024. U.S. Securities and Exchange Commission.*
3. *Salesforce, Inc. "Management's Discussion and Analysis of Financial Condition and Results of Operations." Form 10-K (FY2025).*
4. *ChatGPT (OpenAI) was used as a support tool to help organize analysis and improve structure.*